

2-5c Intellectual Property Rights

While the term “property” traditionally refers to *tangible* pieces of property (such as land), **intellectual property (IP)** (Intangible property that is the result of intellectual activity.) specifically refers to *intangible* property that is the result of intellectual activity (such as books, videos, and websites).

Intellectual property rights (IPR) (Right associated with the ownership of intellectual property.)

are rights associated with the ownership of intellectual property. They primarily include rights associated with

- (1) patents,
- (2) copyrights, and
- (3) trademarks.

- **Patents** (Exclusive legal rights of inventors of new products or processes to derive income from such inventions.)

are legal rights awarded by government authorities to inventors of new products or processes, who are given exclusive (monopoly) rights to derive income from such inventions through activities such as manufacturing, licensing, or selling.

- **Copyrights** (Exclusive legal right of authors and publishers to publish and disseminate their work.)

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- **Trademarks** (Exclusive legal rights of firms to use specific names, brands, and designs to differentiate their products from others.)

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Because IPR are usually asserted and protected on a country-by-country basis, one pressing issue arises internationally: How can IPR be protected when countries have uneven levels of enforcement? The Paris Convention for the Protection of Industrial Property is the “gold standard” for a higher level of IPR protection. Adopting the Paris Convention is required in order to become a signatory country to the WTO’s Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS) (see Chapter 8). Given the global differences in the formal rules, much stricter IPR protection is provided by TRIPS. Once countries join TRIPS, firms are often forced to pay more attention to innovation.

IPR need to be asserted and enforced through a *formal* system, which is designed to provide an incentive for people and firms to innovate and to punish violators. However, the intangible nature of IPR makes their protection difficult. Around the world, [piracy \(Unauthorized use of intellectual property.\)](#)—unauthorized use of intellectual property—is widespread, ranging from unauthorized sharing of music files to deliberate counterfeiting of branded products.

What other examples of pirated intellectual property can you think of?



Lynnette Peizer/Alamy

Overall, an institution-based view suggests that the key to understanding IPR violation is to realize that IP violators are not amoral monsters, but ordinary people and firms. Given an institutional environment of weak IPR protection, violators have made a rational decision by investing in skills and knowledge in this business (Proposition 1 in [Table 2.3](#)). When filling out a survey that asks, “What is your dream career?” no high-school graduate will answer, “My dream career is counterfeiting.” Nevertheless, thousands of individuals and firms *voluntarily* choose to be involved in this business worldwide. Stronger IPR protection may reduce their incentive to do so. For example, counterfeiters in China will be criminally prosecuted only if their profits exceed approximately US\$10,000. No counterfeiters are dumb enough to keep records showing they make that much money. If they are caught and are found to make less than US\$10,000, they can usually get away with a US\$1,000 fine, which is widely regarded as a (small) cost of doing business. However, IP reforms to criminalize *all* counterfeiting activities regardless of the amount of profits, which have been discussed in China, may significantly reduce counterfeiters’ incentive.

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